

Global Week in Review

Saturday, 18 July 2026

Everything that mattered this week. Week ending Friday 17 July 2026 US close. All times GMT+8.

Weekly market snapshot (week ending Fri 17 Jul)

Instrument	Level (Fri 17 Jul)	Week move	Note
S&P 500	7,457.69	-1.5%	YTD ~+9%
Nasdaq Composite	25,520.24	-2.9%	YTD ~+10% · tech-led
Dow Jones	52,146.42	-0.4%	YTD ~+10% · held up
Russell 2000	2,962.22	~flat	YTD ~+20% · small-caps outperformed
US 10Y Treasury	4.55%	-1bp	2Y 4.18% · 2s10s +37bp
Dollar (DXY)	100.76	softer	EUR/USD 1.144 · USD/JPY 162.4
Gold (spot)	~\$3,980	-3.4%	Nov-2025 levels
Silver (spot)	\$55.58	-6.9%	8-month low
Brent / WTI	~\$85 / \$80.86	↑ >10% (WTI)	1-mo high · Hormuz risk
Natural gas	~\$2.92	↓	2-month low · ample supply
Copper	\$6.22/lb	↓	metals sold off
Bitcoin	~\$63,800	+0.9%	range-bound
VIX	18.77	↑	popped Fri on tech rout

TL;DR: A crowded-momentum unwind — not a broad risk-off — dragged the cap-weighted indices lower (Nasdaq **-2.9%**) as TSMC's capex hike reignited AI-overspend fears and Netflix was punished for a soft guide, even as 8 of 11 sectors rose. Soft CPI flipped the Fed from hike-risk to cuts-back-on-the-table, while a US–Iran oil spike (WTI **+10%**) powered energy and knocked gold **-3.4%**. Banks printed a record quarter.

The big picture — what the week meant

1. **The AI trade de-rated — on capex, not demand.** TSMC blew the doors off (net profit **+77%**, a 5th straight record) but **raised 2026 capex to \$60–64bn** and added \$100bn to Arizona — and the tape read that as 'AI overspend'. Semis were routed: the SOX is **-13% over the month**, and Goldman's High-Beta Momentum basket fell **-28.9%** in a month. IBM had its worst day since 1987.

Read: This was a positioning event in the most crowded longs, not a demand scare — 74% of S&P names rose on Thursday even as the index fell. The picks-and-shovels story (foundry/AI silicon) is intact; the froth in high-beta momentum is what's unwinding.

2. **Netflix punished for merely-good.** Revenue **\$12.56bn (+13%)**, EPS **\$0.80** beat — but a merely in-line Q3 guide sent the stock **-8%** to a 52-week low.

Read: Zero tolerance for growth deceleration in premium-multiple compounders — a warning shot into the rest of earnings season.

3. **Oil reflation on geopolitics.** A fragile US–Iran / Strait of Hormuz situation drove WTI **+10%** to a one-month high (\$80.86) and Brent to ~\$85. Energy was the week's best sector.

Read: Hedgeye's frame — a #Quad3 'oil reflation': growth slowing while an oil breakout pushes long-run inflation expectations up, even as headline CPI cools. That keeps yields sticky-high and caps gold.

4. **The disinflation flip.** June CPI **+3.5% YoY** (vs 3.9% expected; **-0.1% MoM**, the biggest monthly drop since Apr 2020) and soft PPI collapsed July-hike odds to **~8%** and put a September cut back on the table.

Read: The Fed narrative swung from 'possible hike' to 'cuts back in play' in five days — but the oil breakout is the offsetting risk to that dovish repricing.

5. **Banks printed a record quarter.** JPMorgan net **\$21.2bn**, Goldman revenue **+39%** (equities **+72%**), Citi's best revenue in a decade — a trading/IB boom lifted all five majors (**~+39% YoY** combined). Financials and value led.

Read: Leadership is broadening out of megacap tech into financials, insurers, energy, healthcare and small-caps — a healthier tape underneath a weak headline index.

Rates, currencies & commodities

Rates & credit

- **Yields little changed, curve steeper.** 10Y **4.55%** (**-1bp**), 2Y **4.18%** (**-3bp**); 2s10s widened to **+37bp**. Soft inflation pulled the front end, but the oil breakout kept the long end anchored high.
- **No credit stress.** High-yield (HYG) held bullish and near cycle-tights; IG (LQD) softer on duration. Credit is treating this as rotation, not systemic risk-off — which corroborates the equity read.

Currencies

- **Dollar softer.** DXY **100.76**, lower on the week as soft CPI trimmed hike odds. EUR/USD **1.1437 (+0.2%)**; USD/JPY **162.39** — yen near a 40-year low, back in intervention-watch territory.
- **Asia FX.** USD/CNH traded around the soft China Q2 GDP print and the PBOC daily fix — Beijing's tolerance for yuan weakness remains the tell.

Commodities

- **Oil surged on geopolitics.** WTI **+10%** to \$80.86, Brent **~\$85** — bid on renewed US–Iran / Hormuz risk. A tanker/shipping disruption is the tail that would spike prices and reignite inflation.
- **Precious metals sold off.** Gold **-3.4%** to **~\$3,980** (Nov-2025 levels), silver **-6.9%** to \$55.58 (8-month low) — hit by firmer real yields and a resilient-data repricing, only partly cushioned by the Hormuz safe-haven bid.
- **Nat gas & copper eased.** Henry Hub slid to a 2-month low (**~\$2.92**) on ample supply despite the heat; copper **-1.3%** to \$6.22 in a broad metals pullback.

Hedgeye Risk Ranges & regime

Regime: **#Quad3 — 'Oil Reflation'** (exiting monthly #Quad4). Growth is decelerating while an Oil TRADE breakout gives inflation a second-derivative push, even as trailing CPI cools (June headline **+3.53% YoY**; Hedgeye's July Nowcast **+3.34%**). UST 2s and 10s are back to Bullish TREND in yield terms. Immediate-term ranges (TREND = Hedgeye's intermediate signal), from the 17 Jul Early Look ('Widely-Held Momentum Crashing'):

Instrument	Immediate-term risk range	TREND
S&P 500 (SPX)	7,425 – 7,575	Bullish
Nasdaq Composite	25,305 – 26,299	Neutral
Russell 2000	2,925 – 3,019	Bullish
US 10Y yield	4.46% – 4.62%	Bullish
US Dollar (DXY)	100.35 – 101.27	Bullish
Gold (spot)	\$3,950 – \$4,163	Bearish
Silver (spot)	\$53 – \$60	Bearish
WTI crude *	\$68.55 – \$83.92	Bearish
Nat gas	\$2.67 – \$3.09	Bearish
Copper	\$6.03 – \$6.33	Neutral
VIX	15.03 – 17.61	Bearish
HY credit (HYG)	79.51 – 79.95	Bullish
IG credit (LQD)	106.6 – 108.2	Bearish
Tech (XLK)	\$172 – \$185	Neutral
Health Care (XLV)	\$158 – \$166	Bullish

Where we sit: S&P (**7,458**) mid-range and bullish; gold (**\$3,980**) bearish TREND; VIX popped to **18.77** — above the range top, the one sign of stress in an otherwise orderly tape. * Hedgeye is long the oil TRADE breakout within a bearish TREND.

*Rotation: out of crowded high-beta momentum (semis — MRVL, SNDK — and 'retail sentiment' longs); into Healthcare (XLV **+2.2%**), Real Estate, and broadening small-caps. On 16 Jul, 74% of S&P names rose and 9 of 11 sectors were up — a concentrated unwind, not broad weakness.*

Mag7 scoreboard (Fri 17 Jul close)

Stock	Price	Move	Mkt cap	P/E
Nvidia — NVDA	\$207.40	-2.4% (Fri)	~\$5.0T	31.1
Apple — AAPL	\$333.26	+1.8% (Fri)	~\$4.9T	40.5
Alphabet — GOOGL	\$353.81	-2.2% (wk)	~\$4.3T	27.0
Microsoft — MSFT	\$401.10	+1.4% (Fri)	~\$3.0T	23.5
Amazon — AMZN	\$249.89	-2.0% (Fri)	~\$2.7T	29.6
Meta — META	\$664.54	-2.9% (wk)	~\$1.7T	23.5
Tesla — TSLA	\$391.06	-0.9% (Fri)	~\$1.5T	370

Split tape: Apple and Microsoft up, the rest down on the AI/chip wobble —

Alphabet worst (Gemini model delay). The Mag7 shed ~\$2T of market cap month-to-date (combined ~\$23.1T). Leadership is narrowing within the group even as it broadens across the market. *(Note: clean Mon–Fri weekly % isn't published per name; Fri-day moves shown where the weekly print wasn't verifiable.)*

Positioning & options

- **VIX popped, off a low base.** 18.77 Friday (+12% on the day) as the chip unwind bit — but it started the week sub-16. 17.6 is the level Hedgeye flags; a sustained break above it would signal a real regime change rather than a momentum flush.
- **No credit stress.** HYG bullish, LQD orderly — spreads near cycle-tights. Credit reads this as rotation, not scare.
- **Net read.** A momentum crash inside a calm-credit, broadening-breadth tape = a pricing/positioning event, not a systemic one. The tells to watch: VIX holding above 17.6, or HY cracking its range.

Sector rotation — leaders & laggards (week)

- **Leaders:** Energy (the oil spike — XLE the standout), Consumer Staples, Healthcare (XLV), and Financials/insurers — Travelers +9% on a Q2 beat dragged Progressive and Allstate higher. 8 of 11 sectors closed the week up.
- **Laggards:** Technology (~-4.3%, weakest), Communication Services, and semiconductors — the SOX -13% over the month. High-beta momentum -28.9% in a month.

Hedgeye read: Leadership is rotating out of semis/high-beta into energy, financials, healthcare, real estate and broad small-caps — value and breadth over concentration.

Corporate news

- **Big banks — record Q2.** JPMorgan net \$21.2bn; Goldman rev +39%, net \$6.6bn; BofA net +27%; Citi best revenue in a decade; Wells net +17%. A trading/IB boom across the board.
- **TSMC.** Record Q2 (net profit +77%), HPC/AI = 66% of revenue; raised 2026 capex to \$60–64bn and Q3 guide to \$44.6–45.8bn; +\$100bn Arizona.
- **Netflix.** Beat on EPS, light on revenue; -8% after hours on a merely in-line Q3 guide — 52-week low.
- **Alphabet.** -4.4% Friday on a reported Gemini model launch delay; DeepMind talent departures flagged.
- **Travelers.** +9% on a large Q2 beat — lifted the whole P&C insurance complex.
- **IBM.** Reportedly its worst day since 1987, caught in the AI-capex de-rating.

Macro data

- **US (week):** CPI June +3.5% YoY (vs 3.9%; -0.1% MoM); PPI -0.3% MoM (+5.5% YoY); retail sales +0.2% MoM; jobless claims ~208k; UMich sentiment jumped to 54.4 (vs 51). Net: disinflation + resilient consumer/labour → July-hike odds ~8%, September cut back in play. Fed on hold at 3.50–3.75%.
- **China (Tue):** Q2 GDP +4.3% YoY (missed 4.5%; weakest since Q4 2022). June retail +1.0% (beat but weak), industrial production +5.3% (beat), fixed-asset investment -5.7% YTD. Net: factory side resilient, domestic demand and investment slumping → louder stimulus calls.
- **Rest of world:** No ECB / BoE / BOJ decisions this week — the calendar is back-loaded (Fed 29 Jul, ECB & BoE 30 Jul, BOJ 30–31 Jul). UK June CPI lands 22 Jul.

Geopolitics

- **US–Iran / Strait of Hormuz:** A fragile, on-off ceasefire kept an oil risk premium in place and was the week's swing factor for crude, inflation and yields. Any tanker/shipping headline is the thing to watch first.
- **Russia / Ukraine:** US senators reached a deal with the administration to advance a Russia sanctions bill including secondary tariffs on buyers of Russian oil — a potential new oil-supply wildcard.
- **US–China:** Trade truce holding; no fresh escalation this week. The next hard marker is the widely-cited mid-August truce expiry.
- *Prediction markets: live Polymarket/Kalshi odds for Fed and geopolitics could not be verified as of writing — flagged rather than quoted stale.*

Beyond the markets — also worth knowing

Summits, conferences & talks

- **AI for Good Global Summit (UN/ITU), Geneva — 7–10 Jul.** Bengio, Benioff and heads of state on AI policy, robotics and quantum — the week's marquee AI-policy read. The G20 Leaders' Summit (Miami) comes later in 2026.

Science & frontier research

- **Record black-hole pair** (~60 billion solar masses combined) identified — possibly the largest binary ever detected. A diamond-based quantum magnetometer on the ISS mapped Earth's magnetic field, and CAR-T therapy showed early promise against Stiff Person Syndrome.

Space & frontier tech

- **SpaceX Starship Flight 13 scrubbed at T-0 on 16 Jul** on a Raptor-3 ignition failure; two engines to be swapped, retargeting ~20 Jul. It's the 2nd flight of Starship V3 and would deploy the first Starlink V3 satellites.

Weather & climate (market-moving)

- **North American heat wave stressed the grid.** PJM load hit ~162.7 GW (near the 2006 record), wholesale power spiked above \$2,500/MWh in places, and the DOE twice ordered max-output runs. Heat + AI-datacenter demand is the structural power-market story — even as gas hit a 2-month low on supply.

Water cooler — sport, screen & games

- **Golf — The 154th Open Championship, Royal Birkdale (16–19 Jul):** Scheffler defending, McIlroy chasing the Claret Jug, home hope Fleetwood in the mix. Tour de France also live.
- **Screen — Christopher Nolan's 'The Odyssey' opened 17 Jul** — his largest production and the first feature shot entirely on IMAX 70mm; premium 70mm screenings reportedly sold out within an hour. The weekend's box-office event.

Appendix — Stock cards

Every name materially discussed above — price, valuation, key dates and a one-line read. (6-month price charts can be embedded in the scheduled version; described here in words.)

Alphabet (Google) NASDAQ: GOOGL

Price: \$353.81 · week ~-2.2%

Valuation: P/E 27.0 · mkt cap ~\$4.3T

Key dates: Gemini launch delay reported; Q2 results pending

6-month trend: *Round-tripped from its spring highs; six-month trend flat-to-down.*

Epicentre of the AI-execution wobble — fell ~4.4% Friday on the model-delay news.

TSMC (ADR) NYSE: TSM

Price: ~\$410

Valuation: P/E ~35 · mkt cap ~\$2.1T

Key dates: Reported record Q2 on 16 Jul; raised FY capex to \$60–64bn

6-month trend: *Up ~20% over six months; demand for AI silicon still ferocious.*

The counterpoint to the wobble — record Q2 (+77%), but the capex hike is what spooked the sector.

Netflix NASDAQ: NFLX

Price: ~\$1,150 (split-adj. varies)

Valuation: P/E ~40 · no dividend

Key dates: Reported Q2 16 Jul (EPS beat, revenue light, soft Q3 guide)

6-month trend: *Slid over six months to multi-year lows, with a further drop after earnings.*

'Punished for merely-good' — slid ~8% to a multi-year low after the print.

Nvidia NASDAQ: NVDA

Price: \$207.40

Valuation: P/E 31.1 · mkt cap ~\$5.0T

Key dates: Next earnings pending; led the week's semi rout

6-month trend: *Volatile and off recent highs as high-beta momentum unwound.*

The bellwether of the AI-capex de-rating; caught in the momentum unwind despite intact demand.

JPMorgan NYSE: JPM

Price: record-quarter bid

Valuation: P/E ~14

Key dates: Reported Q2 14 Jul — net income a record \$21.2bn

6-month trend: *Grinding higher over six months; financials leading the rotation.*

The face of the bank blowout — a trading/IB boom drove a record quarter.

Travelers NYSE: TRV

Price: +9% on the week

Valuation: P/E ~13

Key dates: Reported Q2 with a large beat

6-month trend: *Breaking out over six months as insurers lead value.*

Lifted the whole P&C insurance complex (Progressive, Allstate) on the print.

Sources: CNBC, Reuters, Yahoo Finance, Bloomberg, Kitco, FXStreet, TradingEconomics, Trading Economics/Census/BLS, Motley Fool, SlickCharts, StockAnalysis, Benzinga, CGTN, Hedgeye (Early Look — Risk Ranges, Quads, rotation, 17 Jul), Advisor Perspectives, Space.com, Science News, Boxoffice Pro. Figures are for the week ending Fri 17 Jul 2026 close unless noted; several items flagged as directional/unconfirmed inline. Verify live prices before acting. This is a market-summary document, not investment advice.